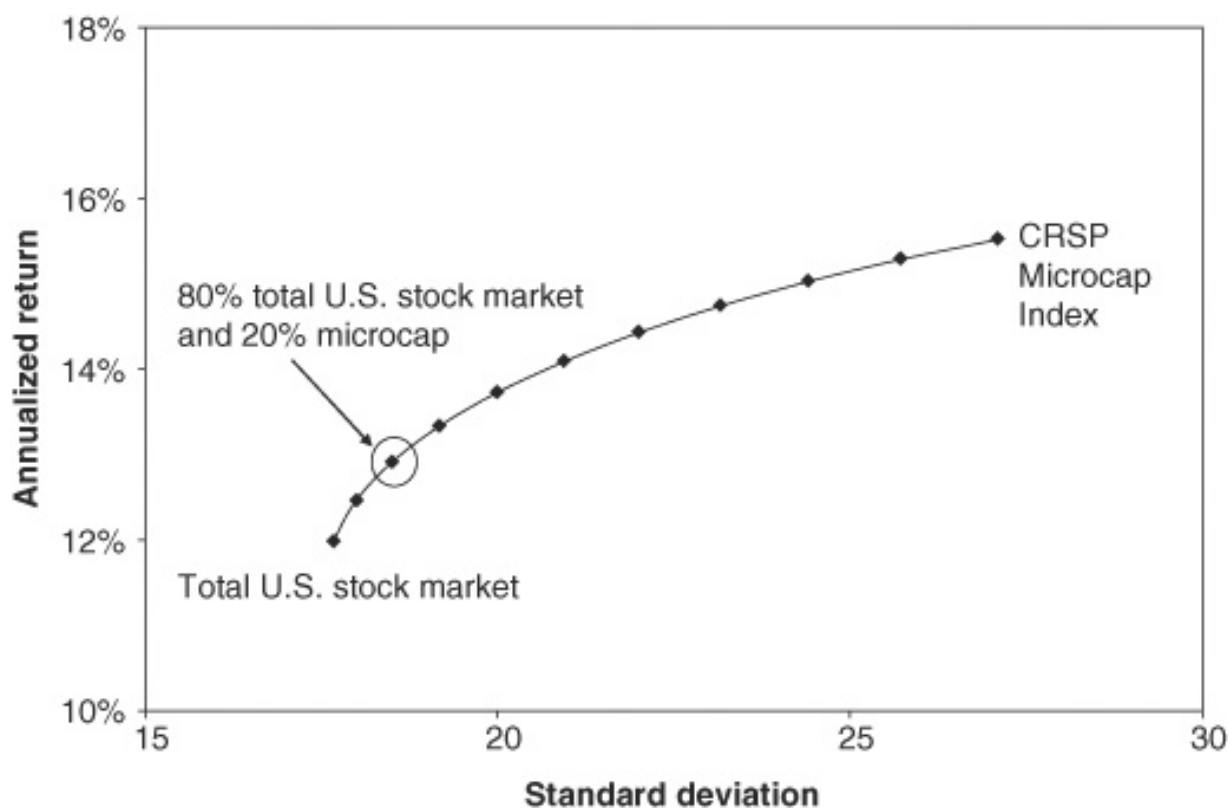


[Figure 6-3](#) reflects the 36-month rolling correlation between the CRSP total U.S. market, CRSP midcap stocks, and CRSP microcap stocks. The CRSP Midcap Index is highly positively correlated with the broad market almost all the time. Consequently, a separate portfolio of midcap stocks is not an ideal diversifier for investors who own a total stock market index fund. Tiny microcap stocks offer better diversification because at times there has been low correlation between microcap stocks and the total stock market. The varying correlation from high to low signals diversification potential from the niche area of microcap stocks.

A portfolio that has an overweighting in microcap stocks acts differently from a total stock market portfolio. [Figure 6-4](#) illustrates the theoretical diversification benefit that was achieved by adding 10 percent increments of CRSP microcap stocks to a total stock market index.

FIGURE 6-4

Return Characteristics of Adding Microcap Stocks to a Total Market Fund, 1975–2009



Had it been possible, over the 30-year period from 1980 to 2009, a portfolio of 80 percent in a total stock market index fund and 20 percent in